1.0) AIM: Study and evaluate an emerging blockchain platform. (i..e KADENA/QUORUM/TENDERMINT)

Why Alternative Blockchains Matter

Since Bitcoin (2009) and Ethereum (2015), the blockchain ecosystem has evolved significantly. Bitcoin focuses on digital currency and decentralization, while Ethereum emphasizes smart contract programmability. However, each has limitations:

Bitcoin: Limited to ~7 transactions per second, lacks general-purpose smart contracts
Ethereum: High gas fees during congestion, environmental concerns with Proof of Work

Alternative blockchains address these gaps with different architectural choices and trade-offs between decentralization, security, scalability, and cost. Understanding these platforms is crucial for selecting appropriate technology for specific applications.

Key Evaluation Criteria
Consensus Mechanism
The consensus mechanism determines how network participants agree on the canonical blockchain state. Different mechanisms offer distinct trade-offs:

• Proof of Work (PoW): Most secure but computationally expensive and energy-intensive
• Proof of Stake (PoS): Energy-efficient, but requires significant capital lock-up
• Byzantine Fault Tolerant (BFT): Achieves instant finality but requires trusted validators
• Delegated Proof of Stake (DPoS): Combines PoS with community voting

As covered in "Mastering Blockchain," consensus mechanisms have direct implications for network security, transaction throughput, and participation barriers.
Scalability & Performance
Performance is measured by throughput (TPS), latency (time to transaction finality), and bandwidth:

• Ethereum mainnet: 13 TPS average with 12-second block times
• Bitcoin mainnet: 7 TPS with 10-minute block times
• Hyperledger Fabric: 1000+ TPS with sub-second finality
• Tendermint: 10,000+ TPS theoretical capacity with ~1 second finality

Scalability is achieved through sharding (parallel processing), sidechains (parallel chains), or layer-2 solutions (off-chain processing with periodic settlement).

Security Model

Security concerns include resistance to attacks, cryptographic strength, and finality guarantees:

Permissionless systems (Bitcoin, Ethereum): Open to any participant but require computationally expensive security
Permissioned systems (Hyperledger, Quorum): Restricted to known participants, allowing BFT-based security Cryptographic primitives vary (ECDSA vs alternative curves)

Study: Kadena - A Scalable and Private Blockchain Solution

1. Introduction to Kadena

Kadena is a cutting-edge blockchain solution that tackles two of the most critical issues faced by blockchain systems: scalability and privacy. It introduces innovations in consensus algorithms and smart contract programming, aiming to support enterprise applications with high-performance requirements. Kadena's **Scalable Byzantine Fault Tolerant (BFT) consensus** algorithm enables it to scale to thousands of nodes without performance degradation, making it highly suitable for large-scale distributed systems.

Additionally, Kadena introduces **Pact**, a new smart contract language designed for safety and simplicity, offering features such as built-in support for key rotation and transaction encryption, positioning Kadena as a leader in blockchain security.

2. Key Innovations in Kadena

- **Scalable BFT Consensus Algorithm**: At the heart of Kadena's scalability lies its proprietary **Scalable BFT** consensus algorithm, which is based on the Raft algorithm. This algorithm ensures consensus across the network while maintaining high performance, even as the number of nodes grows. Scalable BFT is a significant improvement over earlier systems like **Tangaroa** and **Juno**, which failed to scale efficiently. By achieving consensus through replication and incremental hashing, Kadena ensures that thousands of nodes can reach agreement without bottlenecking performance.

- **Privacy and Security Enhancements**: Kadena incorporates **confidentiality** measures like key rotation, symmetric on-chain encryption, incremental hashing, and the **Double Ratchet protocol** to ensure privacy in blockchain transactions. These methods are designed to secure sensitive transaction data, which can be decrypted only by authorized participants.

3. Pact - The Smart Contract Language

A key feature of Kadena is **Pact**, a Turing-incomplete smart contract language developed specifically for creating safe and deterministic smart contracts. Unlike Ethereum's bytecode-

based smart contracts, Pact contracts are human-readable on-chain and offer features that enhance security:

- **Keysets**: Pact includes authorization mechanisms that control access to contract modules and tables.
- **Modules**: These contain the business logic and are structured in a stepwise manner, making contract execution more transparent.
- **Tables**: Pact uses access-controlled tables to store data, limiting direct access to authorized administrators.

Pact is designed to prevent common smart contract vulnerabilities by limiting programming complexity. Its Turing-incomplete nature ensures that contracts are easier to analyze, audit, and test. Additionally, the lack of null values and support for immutable variables improve the reliability of contract execution.

4. Transaction and Consensus Process in Kadena

The lifecycle of a transaction in Kadena's network involves several steps, ensuring both integrity and privacy:

1. **Transaction Origination**: A user signs a transaction, which is then broadcast to the network. The transaction is picked up by a **leader node** and added to an **immutable log** with an incremental hash for quick and resource-efficient hashing.
2. **Replication and Consensus**: The leader node broadcasts the transaction to other nodes after signing the replication and incremental hash. The other nodes verify the leader's signature, add the transaction to their logs, and calculate their own incremental hashes. Once the required quorum of nodes verifies the transaction, it is committed to the blockchain.
3. **Smart Contract Execution**: Once consensus is achieved, the smart contract is executed. The process includes signature verification, Pact code compilation, and business logic execution. If there are any errors, a rollback is initiated to revert the blockchain state to its pre-execution condition.

5. Pact's Execution Modes

Pact offers three modes of execution, each designed to support different stages of smart contract lifecycle management:

- **Contract Definition**: This mode allows users to define a contract in a single transaction, setting up the structure and logic.

- **Transaction Execution**: This involves running the core business logic encoded in the smart contract.
- **Querying**: Queries allow users to retrieve data from the contract without altering the state of the blockchain. This is executed locally on nodes to optimize performance.

6. Comparison to Other Blockchain Solutions

Unlike Ethereum's **Ethereum Virtual Machine (EVM)**, where smart contracts are compiled into bytecode, Pact's human-readable format ensures transparency and safety. Kadena's emphasis on **deterministic consensus** with a combination of cryptographic security measures at every layer, from transactions to consensus, sets it apart from traditional blockchains.

In Ethereum, the complexity of Turing-complete smart contracts increases the risk of bugs and vulnerabilities. Kadena's decision to use a Turing-incomplete language like Pact simplifies contract logic, reducing risk and enhancing reliability.

7. The Role of Pervasive Determinism in Kadena

Kadena introduces the concept of **pervasive determinism**, where the consensus and transaction layers are fully deterministic, providing enhanced security and ensuring that the results of smart contract execution are predictable. This deterministic nature ensures consistency across all nodes, which is crucial for high-integrity applications.

8. Conclusion

Kadena offers a unique blend of scalability, security, and privacy, making it a strong candidate for enterprise blockchain applications. Its innovations, particularly the **Scalable BFT consensus algorithm** and the **Pact smart contract language**, set it apart from other blockchain platforms. By addressing the key challenges of performance and privacy, Kadena positions itself as a future-proof solution capable of supporting large-scale decentralized applications while maintaining transaction security and integrity.